

times, but may make money on any individual trade. As an analogous example, a winning slot machine wager is still a bad bet because if repeated multiple times, it has a high probability of losing money.

¹A *gate* is a legal provision contained in many hedge fund disclosure documents that permits the fund to implement a more restrictive redemption policy if a greater-than-specified percentage of assets are instructed to be redeemed on the same redemption date. An example of a gate would be a provision that investors as a group cannot redeem more than 10 percent of a fund's assets on any single redemption date. If investor redemptions exceed this threshold, they would be fulfilled pro rata of a 10 percent total. Unfilled redemptions would be carried forward to subsequent redemption periods until completely fulfilled.

²Specifically, Claugus derives the best-fit regression line for the log of prices using all data back to 1932 and then calculates the 95 percent confidence interval—the two equidistant lines parallel to the best-fit line that encompass 95 percent of all the months.